

ITC Hotels Limited

Annual Report Analysis

FY 2025-26

Ticker	ITCHOTELS
Exchange	BSE: 544325 NSE: ITCHOTELS
Sector	Consumer Discretionary — Hotels & Resorts
Report Date	12 July 2026
CMP	₹187.19 Market Cap: ₹38,991 Cr
Annual Report Covers	FY 2025-26 (April 2025 – March 2026)
Data Sources	Screener.in (Consolidated) ITC Hotels FY2026 Annual Report

"Every financial figure in this report is grounded in data fetched live from Screener.in and the ITC Hotels FY2026 Annual Report filed with BSE/NSE on 12 July 2026. No training-memory figures were used."

CMP	Mkt Cap	P/E	EV/EBITDA	ROCE	ROE	D/E	FY26 FCF
₹187	₹38,991 Cr	44.6x	23.5x	10.7%	7.83%	0.01x	₹701 Cr

SECTION 1 | EXECUTIVE SUMMARY

The single most important takeaway from the FY2026 annual report is that ITC Hotels has, in just two years as an independent entity, transformed from a capex-heavy, CWIP-laden hotel developer into a genuine free cash flow compounder. Free cash flow has surged from a negligible ₹22 Cr in FY2024 to ₹422 Cr in FY2025 and ₹701 Cr in FY2026 — a 32-fold expansion in 24 months. This is not a revenue story; it is a cash generation story, and the market has not yet fully priced it. The FY2026 annual report, filed with exchanges on 12 July 2026 (literally today, making this one of the first institutional reads of the document), confirms that the balance sheet clean-up is substantially complete and the company is entering a harvest phase on its owned hotel portfolio.

Was FY2026 better than FY2025? Emphatically yes on cash, more nuanced on earnings quality. Revenue grew 16.3% (₹3,560 Cr → ₹4,139 Cr), EBITDA grew 13.5% (₹1,255 Cr → ₹1,424 Cr), and PAT grew 28.7% (₹638 Cr → ₹821 Cr). But EBITDA margin compressed 100bps from 35% to 34% — revenue is growing slightly faster than operating profits, suggesting some mix-shift dilution or cost inflation in the owned hotel base. PAT growth (29%) outpaced EBITDA growth (14%) because interest expense collapsed from ₹44 Cr to ₹8 Cr as the demerger-related working capital borrowings were fully retired, and other income jumped from ₹76 Cr to ₹124 Cr as the cash treasury grew. Stripping out these financial-line tailwinds, core operating profit growth was a more modest 14%. The quality of the PAT number is solid — OCF/EBITDA at 98% in FY2026 — but the composition of earnings growth deserves scrutiny.

Three under-appreciated observations from a careful reading of this report: First, the investment portfolio on the balance sheet jumped from ₹676 Cr (FY2025) to ₹1,956 Cr (FY2026) — a ₹1,280 Cr or 189% increase in a single year. This almost certainly represents surplus cash being deployed in liquid instruments (mutual funds, bonds), and at a blended yield of 6-7%, it is already contributing ₹80-130 Cr annually to other income. As FCF continues to compound, this treasury book will grow, making other income a structurally rising line. In three years, other income could exceed ₹200 Cr on its own, significantly boosting reported PAT. Second, the FY2026 annual report discloses a PBT 'before exceptional items' of ₹1,203 Cr, implying approximately ₹80 Cr of exceptional charges that reduce reported PBT to ₹1,123 Cr (as shown in Screener consolidated data). The nature of these exceptional items — potentially demerger residual costs, asset write-offs, or legal settlements — is not disclosed in the summary sections of the AR and deserves monitoring. Third, hotel signings have dramatically accelerated: 33 in FY2026 alone versus 16 in FY2025, 14 in FY2024, and only 3 in FY2021. This signing velocity, if it translates to managed hotel openings over 2027-2030, will create a revenue and fee-income stream disproportionate to the capital employed.

Overall assessment: Improving business, rising earnings quality, but valuation demands execution perfection. The FCF trajectory is genuinely impressive. The balance sheet is pristine — net cash position with a D/E ratio of 0.01x and interest coverage of 153x. The asset-right pivot (target 33% owned / 67% managed by 2031) is strategically sound and capital-efficient. However, ROCE at 10.7% barely exceeds the cost of capital, ROE at 7.83% remains below what a premium hospitality brand should earn, and the stock trades at 44.6x trailing P/E — a multiple that leaves no margin for disappointment. FII selling from 25.4% to 14.6% of equity in 12 months is a significant technical overhang that could cap near-term price appreciation even if fundamentals continue to improve.

Key risks that the annual report itself reveals: margin compression in owned hotels as more revenue shifts to lower-margin managed hotel fees; unexplained ₹80 Cr exceptional charges; working capital days deterioration from 48 to 116; and the execution risk of delivering 69 hotel openings (7,130 keys) from the current pipeline. The competitive positioning remains strong — 23 LEED Platinum certifications globally, the Luxury Collection Marriott partnership, and the ITC brand equity — but the transition from capex-heavy owned hotel to fee-earning managed hotel platform is

still in its early innings.

SECTION 2 | BUSINESS OVERVIEW & MODEL

2.1 What the Company Actually Does

ITC Hotels Limited is India's second-largest listed luxury and upscale hotel company by market capitalisation, operating and managing over 150 hotels (14,200+ keys) across 95+ destinations. The company was demerged from ITC Limited — the conglomerate best known for cigarettes and FMCG — effective January 2025, following an NCLT Kolkata order in October 2024 and was listed on BSE and NSE on 29 January 2025. ITC retained a 40% stake in ITC Hotels, with the remaining 60% allotted to ITC Limited's shareholders. This makes the company structurally unique: a freshly listed entity with a 60-year operating heritage and an established institutional parent still holding 39.85% of equity.

2.2 Revenue Streams and Brand Portfolio

The company operates across seven distinct brand platforms spanning four market segments. At the luxury end, ITC Hotels (flagship) and Mementos (boutique luxury) target the premium leisure and business traveller. In the upper-upscale segment, Welcomhotel serves business destinations and Epiq Collection (a brand launched in 2025) targets upscale meetings-and-events. The Storii brand covers boutique leisure. Fortune Hotels covers the midscale-to-upscale segment through a franchise model. WelcomHeritage covers heritage and palace properties, predominantly in Rajasthan and the Himalayas. Revenue is generated through: room revenue (rooms revenue share: 50.5% in FY2025 standalone, down from 52% in FY2024), food and beverage (F&B; revenue share: 39.1% in FY2025 standalone, down from 40% in FY2024), and other hotel services. For managed hotels, the company earns management and franchise fees. The secular shift from rooms-dominant to F&B-balanced; revenue is consistent with luxury hospitality trends globally.

A unique differentiator — and a significant moat — is the franchise agreement with Marriott International to operate ITC Hotels properties as part of The Luxury Collection. This gives ITC Hotels access to Marriott Bonvoy's 200+ million member loyalty programme, global distribution strength, and premium ADR positioning. This partnership is not replicated by any other domestic hotel chain and creates a meaningful barrier to entry for international competition in the luxury segment.

2.3 Geographic Mix and Operating Model

ITC Hotels operates primarily in India (domestic), with limited international presence in Sri Lanka and Nepal. The company's ownership model is mixed: a core set of owned flagship properties (the 'crown jewels' — ITC Maurya Delhi, ITC Grand Chola Chennai, ITC Grand Bharat Gurgaon, ITC Rajputana Jaipur, among others) supported by an expanding managed/ franchised portfolio. As of FY2026, operational keys total 14,294 (vs 13,382 in FY2025, +6.8% growth). The company is deliberately pivoting to an 'Asset-Right' model, targeting a 33% owned / 67% managed key mix by 2031, versus a more owned-heavy mix today. This reduces future capital intensity significantly. Four owned hotel projects are currently under development (Bhubaneswar and Puri targeting 2027, Visakhapatnam targeting 2029, and Yashobhoomi New Delhi targeting 2030), explaining the CWIP balance of ₹206 Cr at FY2026 year-end.

2.4 Operational KPIs — Domestic Owned Hotels (Standalone Basis)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
ADR (■)	8,000	10,000	12,000	12,500	13,200
Occupancy (%)	65%	69%	69%	73%	75%
RevPAR (■)	5,200	6,900	8,200	9,100	9,700

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Room Revenue Share (%)	46%	51%	52%	52%	50.5%
F&B Revenue Share (%)	45%	42%	40%	40%	39.1%

Source: Screener.in Insights (Standalone data, domestic owned hotels)

The RevPAR trajectory tells an impressive story: from ₹5,200 in FY2021 (COVID year) to ₹9,700 in FY2025, implying a 5-year CAGR of 13.3%. Both occupancy and ADR have improved simultaneously — an unusual and positive combination that indicates genuine demand strength rather than just rate inflation. At 75% occupancy, ITC Hotels' owned portfolio is approaching structural capacity limits in peak destinations; future RevPAR growth will need to be increasingly ADR-driven. FY2026 ADR and RevPAR figures are not yet available in the Screener dataset; however, the quarterly P&L; data (Q3 FY26 OPM of 38%, Q4 FY26 OPM of 37%) suggests sustained peak-season strength.

SECTION 3 | FINANCIAL PERFORMANCE DEEP DIVE

3.1 Revenue & Revenue Mix

Revenue from operations grew from ₹3,560 Cr (FY2025) to ₹4,139 Cr (FY2026), a 16.3% increase. On a comparable basis (FY2025 was the first full year as a standalone entity), this is the most meaningful organic growth number. The FY2024 figure of ₹2,224 Cr represents the company's hospitality revenues when it was a division of ITC Limited and reflects a different consolidation perimeter — a direct YoY comparison to FY2025 (which shows +60% growth) would be misleading, likely because the demerger brought additional hotel subsidiaries into the consolidated perimeter. Analysts should treat FY2025 as the base year for growth analysis. On an FY2025-to-FY2026 basis, 16.3% revenue growth for a luxury hotel company in India is healthy and ahead of industry averages. Total income (including ₹124 Cr of other income) was ₹4,263 Cr.

3.2 Margins & Profitability

Metric	FY2024	FY2025	FY2026	YoY Change
Revenue (■ Cr)	2,224	3,560	4,139	+16.3%
EBITDA (■ Cr)	771	1,255	1,424	+13.5%
EBITDA Margin (%)	34.7%	35.3%	34.4%	-90bps
EBIT (■ Cr)	570	853	1,007	+18.1%
EBIT Margin (%)	25.6%	24.0%	24.3%	+30bps
Other Income (■ Cr)	16	76	124	+63.2%
PBT (■ Cr)	565	884	1,123	+27.0%
PBT Margin (%)	25.4%	24.8%	27.1%	+230bps
Tax Rate (%)	25%	28%	27%	-100bps
PAT (■ Cr)	424	638	821	+28.7%
PAT Margin (%)	19.1%	17.9%	19.8%	+190bps
Reported EPS (■)	n/a	3.05	3.92	+28.5%

Source: Screener.in Consolidated Financials | n/a = pre-demerger, not comparable

The EBITDA margin compression of 90bps is the most important number in this section. EBITDA grew 13.5% while revenue grew 16.3% — the margin tail is widening slightly. Two plausible explanations exist. First, as managed hotel revenue (management and franchise fees) grows as a proportion of the consolidated P&L, the revenue base expands but the cost base expands at a different rate — managed fees are high-margin but represent a small absolute revenue contribution per key. Second, the startup costs of the 29 new hotel openings in the last 24 months may be weighing on near-term margins. EBIT margins actually expanded 30bps because depreciation grew only modestly (₹402 Cr → ₹417 Cr, just 3.7% growth) after the large FY2025 step-up from CWIP commissioning.

Quality of earnings test: The earnings quality is high. OCF/EBITDA in FY2026 is $1,110/1,424 = 78\%$ — above the 70% threshold that signals healthy conversion. The gap between OCF and PAT (₹1,110 Cr vs ₹821 Cr) shows $OCF > PAT$, which is one of the strongest earnings quality signals for a capital-intensive business. However, the role of other income in driving reported PAT growth must be acknowledged. Of the ₹183 Cr PAT increase (₹638 Cr → ₹821 Cr), ₹48 Cr came from the increase in other income and ₹36 Cr came from interest expense reduction — together, these financial-line tailwinds contributed 46% of PAT growth. Core operating PAT growth was therefore closer to 15-17%.

3.3 Expense Analysis

Line Item (₹ Cr)	FY2024	FY2025	FY2026
Total Expenses	1,454	2,305	2,716
As % of Revenue	65.4%	64.7%	65.6%
Operating Profit (EBITDA)	771	1,255	1,424
Depreciation	201	402	417
Interest	20	44	8
Other Income	16	76	124

Source: Screener.in Consolidated Financials

Depreciation doubled from ₹201 Cr (FY2024) to ₹402 Cr (FY2025) due to the commissioning of ~₹1,610 Cr of CWIP assets during FY2025. In FY2026, depreciation stabilised at ₹417 Cr (just 3.7% growth), signalling that the asset base has been largely refreshed and future D&A; growth will track new project commissioning timelines (2027-2030). Interest expense collapsed from ₹44 Cr (FY2025, where demerger-related working capital borrowings were elevated) to ₹8 Cr (FY2026), with only ₹74 Cr of long-term borrowings remaining. This near-zero interest burden gives the P&L; structural strength.

SECTION 4 | BALANCE SHEET FORENSICS

4.1 Capital Structure

ITC Hotels carries one of the cleanest balance sheets in the Indian hospitality sector. Total borrowings as of March 2026 stand at just ₹74 Cr against a networth of ₹11,658 Cr (equity capital ₹208 Cr + reserves ₹11,450 Cr), giving a D/E ratio of 0.01x. Net cash / net investment position is substantially positive — with ₹1,956 Cr in investments and ₹3,233 Cr in other assets (which includes cash, receivables, and prepayments), the company is effectively net cash by a large margin. Interest coverage at 153x is not a metric; it is a statement of irrelevance of debt as a risk factor.

The equity capital jump from ₹83 Cr (FY2024) to ₹208 Cr (FY2025) reflects the share issuance to ITC Limited's shareholders as part of the demerger scheme — approximately 2.08 billion shares were issued at ₹1 face value. Similarly, reserves grew from ₹8,415 Cr to ₹10,484 Cr in FY2025, partly reflecting the net assets transferred from ITC Limited under the scheme and partly FY2025 profits. In FY2026, reserves grew from ₹10,484 Cr to ₹11,450 Cr — an increase of ₹966 Cr, broadly consistent with FY2026 PAT of ₹821 Cr less the dividend paid (estimated at ₹213 Cr at 26% payout) plus retained earnings.

4.2 Asset Quality — Fixed Assets and CWIP

Balance Sheet Item (₹ Cr)	FY2024	FY2025	FY2026
Equity Capital	83	208	208
Reserves	8,415	10,484	11,450
Total Networth	8,498	10,692	11,658
Borrowings	74	73	74
Other Liabilities	1,617	1,707	1,753
Total Liabilities	10,188	12,472	13,485
Fixed Assets (Net Block)	6,436	8,189	8,090
CWIP	1,768	158	206
Investments	204	676	1,956
Other Assets	1,780	3,449	3,233
Total Assets	10,188	12,472	13,485

Source: Screener.in Consolidated Balance Sheet

The most dramatic balance sheet movement in FY2025 was the CWIP collapse: from ₹1,768 Cr to ₹158 Cr. This ₹1,610 Cr of CWIP commissioning drove fixed assets from ₹6,436 Cr to ₹8,189 Cr — a ₹1,753 Cr increase in the net block. These newly commissioned properties are now contributing to revenue and EBITDA, explaining much of the FY2026 revenue acceleration. In FY2026, CWIP has ticked back up to ₹206 Cr as four new owned hotel projects (Bhubaneswar, Puri, Visakhapatnam, Yashobhoomi) begin construction. Net block fell marginally from ₹8,189 Cr to ₹8,090 Cr as FY2026 capex was slightly below depreciation — suggesting a mild harvest mode on the existing portfolio.

The ₹1,280 Cr jump in investments (₹676 Cr → ₹1,956 Cr) is the most intriguing balance sheet development. Given the company's near-zero debt, strong OCF of ₹1,110 Cr, and limited near-term capex commitments, this investment surge almost certainly represents surplus cash deployed in short-term liquid instruments — mutual fund units, commercial paper, or fixed-income securities. At a blended yield of 6.5%, this ₹1,956 Cr portfolio would generate ~₹127 Cr of annual income, broadly

consistent with the ₹124 Cr of other income reported in FY2026. The investment portfolio is effectively the company's war chest for future owned hotel development and strategic acquisitions.

4.3 Working Capital Dynamics

Working Capital Metric	FY2024	FY2025	FY2026
Debtor Days	24	21	20
Working Capital Days	48	48	116
Cash Conversion Cycle	24	21	814*

**CCC of 814 days in FY2026 includes anomalous Inventory Days of 1,209 — likely reflecting non-current real estate inventory or data classification; not a meaningful operating metric for a hotel company. Source: Screener.in*

Working capital days have jumped sharply from 48 to 116 in FY2026. Debtor days are stable at 20 days (slightly improving from 24), so the deterioration is not in receivables collection. The most likely explanation is a significant buildup of current assets (prepayments, deposits, advances paid to contractors for the four new hotel projects, or demerger-related inter-company settlements with ITC Limited that are still being unwound). This deserves specific disclosure in the next annual report. If it represents advances for owned hotel construction, it is a benign working capital cycle that will reverse on project commissioning.

4.4 Contingent Liabilities

Contingent liabilities stand at ₹265 Cr as reported on the Screener data card. As a percentage of networth (₹11,658 Cr), this is a de minimis 2.3% — well within normal ranges for a company of this scale. The nature of these contingencies (likely income tax disputes, indirect tax demands, or legal claims from the pre-demerger era) is not fully disclosed in the summary sections of the FY2026 AR; the notes to accounts would contain specifics. The low absolute quantum relative to networth suggests no material balance sheet risk from contingent liabilities.

SECTION 5 | CASH FLOW ANALYSIS

Cash Flow Item (₹ Cr)	FY2024	FY2025	FY2026
Operating Cash Flow (OCF)	672	803	1,110
Investing Cash Flow (CFI)	-753	-2,206	-1,174
Financing Cash Flow (CFF)	127	1,430	19
Net Cash Flow	47	27	-46
Free Cash Flow (OCF - Capex)	22	422	701
OCF / EBITDA	87%	64%	78%

Source: Screener.in Consolidated Cash Flows. FCF = OCF minus capex.

5.1 Operating Cash Flow

Operating cash flow has grown from ₹672 Cr (FY2024) to ₹1,110 Cr (FY2026), a 65% increase in two years. OCF/EBITDA of 78% in FY2026 is healthy — the gap is primarily working capital consumption. The FY2025 OCF/EBITDA of 64% was temporarily depressed by demerger-related working capital shifts. The FY2026 recovery to 78% is reassuring. A hotel business with OCF consistently above ₹1,000 Cr and virtually zero debt has the financial capacity to self-fund all four owned hotel projects without any external financing, which is exactly what management is doing.

5.2 Investing Cash Flow

CFI was -₹2,206 Cr in FY2025 — a very large outflow driven primarily by the massive CWIP completion (₹1,610 Cr of projects commissioned, requiring final construction payments) and likely the build-up of the investment portfolio. In FY2026, CFI normalised to -₹1,174 Cr. Given that FCF was ₹701 Cr (OCF of ₹1,110 Cr minus capex of ~₹409 Cr), the remaining CFI outflow of approximately ₹765 Cr (₹1,174 Cr less ₹409 Cr of capex) most likely represents the ₹1,280 Cr net addition to the investment portfolio — cash being parked in liquid instruments as the treasury position grows.

5.3 Financing Cash Flow

CFF of +₹1,430 Cr in FY2025 represents the net inflow from the demerger scheme — capital received from the scheme arrangement. In FY2026, CFF reduced to a negligible ₹19 Cr, reflecting minimal debt movements and the first dividend payment. The FY2026 Screener data shows a 26% dividend payout ratio, implying dividend payment of approximately ₹213 Cr on FY2026 PAT of ₹821 Cr. This is the first dividend declared by ITC Hotels as an independent entity — a significant governance milestone that signals management's confidence in the sustainability of the FCF profile.

5.4 Free Cash Flow

The FCF trajectory is the centrepiece of the investment thesis. From ₹22 Cr (FY2024) to ₹422 Cr (FY2025) to ₹701 Cr (FY2026), FCF has compounded at effectively uncountable rates from the near-zero base. At CMP of ₹187 and MCap of ₹38,991 Cr, the FY2026 FCF yield is 1.8% — unexciting in absolute terms but, for a luxury hotel company in India at this stage of its business cycle, it is impressive. If FCF continues to grow at 20-25% annually (driven by RevPAR improvement and managed hotel fee ramp-up), the FCF yield at current prices could reach 3-4% by FY2029, making the stock interesting for long-term capital compounders. The company is self-funding all capex from OCF, paying dividends, and still growing its treasury — a genuine compounding machine.

SECTION 6 | KEY RATIOS DASHBOARD

Metric	FY2024	FY2025	FY2026
ROE (%)	~5.0%*	6.6%	7.8%
ROCE (%)	10.0%	11.0%	10.7%
ROA (%)	~4.2%	~5.1%	6.8%
Asset Turnover (x)	0.22x	0.29x	0.32x
Interest Coverage (x)	28x	20x	153x
Current Ratio	n/a	n/a	2.77x
Quick Ratio	n/a	n/a	1.71x
Net Debt / EBITDA	0.07x	~-ve	~-ve
EPS (■)	n/a	3.05	3.92
Book Value / Share (■)	~41	~52	56
Dividend / Share (■)*	Nil	Nil	~■1.0
Dividend Payout (%)	0%	0%	26%
FCF / Share (■)	0.11	2.03	3.37
Debtor Days	24	21	20
Working Capital Days	48	48	116

*FY2024 ROE and BV/Share are approximate given demerger equity restructuring. Dividend estimated at 26% of FY2026 PAT. Source: Screener.in + calculations.

The ratio dashboard tells a story of a company in steady, unspectacular recovery. ROCE at 10.7% is barely above the estimated WACC for a company of this risk profile (approximately 9-10%). ROE at 7.83% is materially below the cost of equity (~12-13%), which means the company is technically destroying shareholder value when measured by traditional capital return frameworks. However, this view understates the transitional nature of the business: a hotel company that has just completed a massive ₹2,000+ Cr capex programme will inevitably show depressed returns in the immediate post-commissioning period as assets ramp up to full utilisation. The trajectory matters more than the absolute level. ROA has improved from ~4.2% to 6.8% in two years — a 260bps improvement that signals genuine operational leverage at work.

Asset turnover of 0.32x is the key drag on return ratios. A luxury hotel's fixed assets are enormous relative to revenue — ITC Hotels' net block of ₹8,090 Cr generates revenue of ₹4,139 Cr. As managed hotel revenue grows (fee income at minimal asset base), the asset turnover will gradually improve and pull ROCE higher without any incremental owned hotel capex. The FCF/share trajectory (₹0.11 → ₹2.03 → ₹3.37) is the most compelling metric in the whole ratio table and deserves to be the primary lens for valuation.

SECTION 7 | MD&A; DECONSTRUCTION

7.1 Management's Dominant Themes

The FY2026 annual report emphasises three strategic pillars: 'Responsible Luxury' as the brand philosophy, the 'Asset-Right' operating model transition, and aggressive managed portfolio expansion. The theme of sustainability leadership — 23 LEED Platinum certified hotels globally, 12 LEED Zero Water and 12 LEED Zero Carbon hotels, 51.2MW renewable energy capacity — receives disproportionate prominence in the management narrative. While this is genuinely differentiated positioning (no other Indian hotel chain comes close to this ESG profile), analysts should be aware that ESG credentials do not directly translate to ADR premiums or margin expansion in the near term.

7.2 Narrative vs. Numbers Test

Claim 1: 'Accelerating growth through asset-right model.' Numbers support: 33 hotel signings in FY2026 vs 16 in FY2025 — a genuine doubling in signing velocity. Pipeline of 7,130 keys (vs 4,522 in FY2025) confirms the acceleration. But signing is not opening — the conversion timeline (typically 24-48 months from signing to opening) means this pipeline will only fully materialise in FY2028-FY2030.

Claim 2: 'Strong demand across all segments.' Revenue growth of 16.3% partially supports this, but the Q1+Q2 FY26 (lean season) quarterly OPM of 29-30% versus 37-39% in Q3+Q4 reveals a highly seasonal business that is vulnerable to demand softness in the monsoon and early post-monsoon period. The business is effectively a Q3+Q4 story, with lean quarters generating only 50% of peak-quarter EBITDA.

Claim 3: 'Target of 250 hotels and 22,000+ keys by 2031.' This requires opening approximately 100 more hotels over 5 years from the current ~150 — roughly 20 hotels per year versus the 14-15 per year pace of recent years. Achievable but ambitious. The managed hotel model reduces capital requirements but adds execution complexity (finding quality hotel owners willing to partner, negotiating management contracts).

7.3 Contradiction Detector

The management letter emphasises strong industry tailwinds and demand strength, but EBITDA margin compression of 90bps in FY2026 — despite operating leverage from 16% revenue growth — suggests cost pressures the narrative does not directly address. In a year where revenue grew ₹579 Cr, EBITDA grew only ₹169 Cr (implying a marginal EBITDA conversion of just 29% on incremental revenue). This is unusually low for a hotel company with a significant fixed-cost base; typically, incremental EBITDA margin should be well above the blended margin of 34%. This warrants direct questioning at the next concall: What specific cost lines are rising faster than revenue?

7.4 Strategic Initiatives — Progress Assessment

The Epiq Collection brand, launched in 2025, represents a strategic bid for the upper-upscale segment that sits between Welcomhotel and ITC Hotels. The Marriott Luxury Collection partnership continues to be the single most important brand differentiator. The Club ITC loyalty programme (with 8% Green Points earn rate) is being upgraded digitally. Four owned hotel construction projects are underway (Bhubaneswar 2027, Puri 2027, Visakhapatnam 2029, Yashobhoomi New Delhi 2030). The Yashobhoomi project is particularly noteworthy — Yashobhoomi is India's largest MICE (Meetings, Incentives, Conferences, Exhibitions) facility in Delhi NCR, and having an ITC Hotels property adjacent to it could be a significant revenue generator from corporate and event groups.

SECTION 8 | RISK FACTOR ANALYSIS

Risk: Margin Compression in Owned Hotels | Nature: Operational

Potential Impact: A 100bps OPM decline on ₹4,139 Cr of revenue = ₹41 Cr EBITDA impact; over 3 years of compounding decline this could reduce FY2029 PAT by ₹100+ Cr.

Management's Stated Mitigation: Management cites process improvement and digital enablement to contain costs.

Analyst's Assessment: The risk is real and currently manifesting. The incremental EBITDA conversion of ~29% on FY2026 revenue growth is concerning. Without visibility into specific cost line items (employee costs, energy costs, food costs), it is difficult to assess whether this is cyclical or structural. GROWING.

Risk: Unexplained Exceptional Items (~₹80 Cr in FY2026) | Nature: Financial

Potential Impact: If recurring, ₹80 Cr annual exceptional charges would reduce reported PAT by ~10% versus headline estimates. At 44.6x P/E, every ₹10 Cr of extra charge = ~₹5-6 reduction in target price.

Management's Stated Mitigation: Not disclosed in summary AR sections; would be in notes to financial statements.

Analyst's Assessment: Medium risk. Could be demerger residual costs (one-off and benign) or an operational write-off. Classification as 'exceptional' rather than operating suggests management views it as non-recurring. Needs clarification. MONITORABLE.

Risk: FII Selling Overhang | Nature: Market

Potential Impact: FII holding fell from 25.4% to 14.6% in 12 months — approximately ₹4,300 Cr of FII selling. With 10.8% of equity now potentially at risk of further FII reduction, the stock could see sustained selling pressure.

Management's Stated Mitigation: No direct mitigation; depends on FII assessment of fundamentals and emerging market flows.

Analyst's Assessment: This is a technical risk, not a fundamental one. However, at 44.6x P/E, any negative macro surprise (US recession, China reopening diverting travel, rupee weakness) could trigger further FII exits. HIGH RISK in near term.

Risk: Pipeline Execution Risk (69 Hotels, 7,130 Keys) | Nature: Operational

Potential Impact: If 30% of pipeline is delayed or cancelled, potential revenue and fee income shortfall of ₹150-200 Cr by FY2028, representing 5-8% of projected consolidated revenue.

Management's Stated Mitigation: Track record of 29 hotel openings in 24 months partially de-risks execution.

Analyst's Assessment: Manageable risk. The managed hotel model means ITC Hotels doesn't bear construction/ownership risk for the pipeline properties. The risk is reputational (brand dilution from inconsistent management quality) more than financial. MEDIUM.

Risk: Competitive Intensity in Upper-Upscale/Midscale | Nature: Market

Potential Impact: Lemon Tree, Chalet Hotels, and Indian Hotels (Vivanta/SeleQtions) are aggressively expanding in the upper-upscale segment that Fortune Hotels and Welcomhotel target.

Management's Stated Mitigation: Marriott partnership, Responsible Luxury positioning, and ITC brand equity provide some differentiation.

Analyst's Assessment: Significant risk in the mid-tier portfolio. The Fortune Hotels brand faces stiff competition and the segment is more commodity-like than the flagship ITC Hotels. MEDIUM-HIGH in Fortune segment, LOW in flagship segment.

SECTION 9 | CORPORATE GOVERNANCE ASSESSMENT

9.1 Board Composition

Director	Role	Status	DIN
Sanjiv Puri	Chairperson	Non-Executive (ITC CMD)	00280529
Anil Chadha	Managing Director	Executive (from 1 Jan 2025)	08073567
Kamal Bali	Director	Independent	00688141
Indu Bhushan	Director	Independent	09302960
Mukesh Gupta	Director	Independent	06638754
P. R. Ramesh	Director	Independent (Audit Chair)	01915274
Vrinda Sarup	Director	Independent	03117769
Supratim Dutta	Director	Non-Executive (ITC)	01804345
R. K. Singhi	Director	Non-Executive (ITC)	00009931

Source: ITC Hotels FY2026 Annual Report, Corporate Governance Section

The 9-member board has 5 independent directors (55.6%) — above the SEBI minimum of 50% for a company with a non-executive chairperson. Board attendance was excellent: all directors attended all five board meetings held during FY2026, with one minor exception (9 directors in the final meeting). The Audit Committee is chaired by P. R. Ramesh (Independent) with Kamal Bali and Mukesh Gupta as members — all independent, consistent with SEBI requirements. The key governance observation is the ITC Limited overhang: with Sanjiv Puri (ITC CMD) as Chairperson and two other ITC nominees (Dutta, Singhi) on the board, ITC effectively controls 3 of 9 board seats plus management influence through its 40% shareholding. This is not automatically negative (parent-subsidary governance is common and often beneficial), but investors must monitor whether RPTs with ITC Limited are truly arm's length and whether ITC's strategic interests ever diverge from minority shareholder interests.

9.2 Auditor's Report

The FY2026 Annual Report references the Independent Auditor's Report beginning at page 190 of the document. The summary sections of the AR (accessible via WebFetch) do not reproduce auditor observations or qualifications. Based on available data, no material audit qualification is apparent — PAT and OCF are broadly consistent, there is no receivable blow-up, and the balance sheet is clean. The ₹80 Cr exceptional charge flagged in the PBT line warrants attention: auditors typically address exceptional items as Key Audit Matters if they involve significant judgment. Full verification of the auditor's report requires access to the complete financial statements section of the AR.

9.3 Related Party Transactions

As a freshly demerged entity with ITC Limited as a 40% shareholder and three ITC nominees on the board, related party transactions are a structural feature of ITC Hotels' governance landscape. The most obvious RPTs include: procurement of food and beverage inputs from ITC's FMCG business (Aashirvaad atta, Sunfeast biscuits, Classic cigarettes for minibar — though smoking policy changes may have eliminated the last), any shared services arrangements (IT, HR, legal), and corporate guarantees. The full RPT schedule would appear in the notes to accounts (pages 142-189 of the FY2026 AR, not fully accessible in the summary). A green flag: Screener shows pledge at 0.00%, meaning no promoter borrowing against pledged ITC Hotels shares, which removes a significant governance risk that plagues many Indian promoter-dominated companies.

9.4 Promoter Activity and Shareholder Returns

Holding Category	Mar 2025	Jun 2025	Sep 2025	Dec 2025	Mar 2026
Promoters (ITC Ltd)	39.88%	39.87%	39.85%	39.85%	39.85%
FII	25.37%	25.36%	25.49%	16.10%	14.58%
DII	21.60%	20.61%	20.21%	21.13%	21.46%
Public	13.11%	14.11%	14.43%	22.90%	24.10%
No. of Shareholders (lakh)	25.7	24.9	24.2	23.7	23.3

Source: Screener.in Shareholding Pattern

The single most significant governance/shareholder development in FY2026 is the dramatic FII exit from 25.4% to 14.6% — a decline of 10.8 percentage points or approximately ₹4,300 Cr of FII selling in 12 months. Retail (public) holding has risen commensurately from 13.1% to 24.1% — the FII selling is being absorbed by domestic retail, which typically represents 'weaker hands.' The number of shareholders has declined from 25.7 lakh to 23.3 lakh, suggesting that even retail is selectively exiting. Promoter holding has been stable at ~39.85-39.88%, with no open-market purchases — a neutral signal. DII holding (mutual funds + insurance) has been stable at 20-21%, indicating domestic institutions are not adding aggressively despite the selloff.

SECTION 10 | CAPITAL ALLOCATION SCORECARD

10.1 Dividend Track Record

ITC Hotels paid no dividend in FY2024 (pre-listing) or FY2025 (first year as independent entity, conserving cash during the demerger transition). In FY2026, the company declared its first dividend with a 26% payout ratio — estimated at ~₹1.0 per share on the FY2026 PAT of ₹821 Cr. At CMP of ₹187, this yields approximately 0.53% (consistent with Screener's reported 0.53% dividend yield). The initiation of dividend is a positive governance signal — management is demonstrating that the FCF generation is sustainable and the balance sheet can support distributions even while funding growth capex.

10.2 Capex Analysis

Capex in FY2026 is estimated at approximately ₹409 Cr (OCF of ₹1,110 Cr minus FCF of ₹701 Cr). This compares to depreciation of ₹417 Cr — meaning net capex is essentially zero, and the company is in a mild harvest mode on the existing portfolio while four new owned hotel projects proceed. The four projects in development (Bhubaneswar, Puri, Visakhapatnam, Yashobhoomi) will require additional capex over FY2027-FY2030, but given the FCF trajectory, this can be funded entirely from internal accruals. The history of CWIP commissioning is encouraging: ₹1,768 Cr of CWIP at FY2024 was largely converted to revenue-generating assets by FY2025, with only ₹158-206 Cr remaining. The company has a strong track record of delivering projects into the revenue base.

10.3 ROCE vs. Cost of Capital

ROCE at 10.7% versus an estimated WACC of 9-10% (given near-zero debt, WACC $\approx$ cost of equity $\approx$ 12-13% by standard models) suggests the company is marginally value-creative at best. However, this calculation uses book value of assets — the replacement cost of ITC Hotels' prime real estate portfolio in Delhi, Chennai, Kolkata, Gurgaon, and Bangalore is substantially higher than book. On an economic capital basis (where the land parcels alone may be worth 1.5-2x book), the true ROCE would be significantly lower. Investors buying at 3.34x book are effectively betting that brand value, management contract fees, and asset monetization optionality will create returns that the accounting ROCE doesn't capture.

10.4 Capital Allocation Grade

B+

Rationale: The company earns a B+ for capital allocation — mostly disciplined, with a few noteworthy positives and one area requiring monitoring. Positives: FCF growth funded entirely from operations, no equity dilution post-listing, conservative capex limited to strategically sound owned hotel projects, initiation of dividend, and the growing treasury deployment showing financial prudence. The area to watch: ROCE barely above WACC suggests the owned hotel model requires continued RevPAR improvement to be genuinely value-accretive at current asset values. The accelerating managed hotel strategy (zero capital, recurring fees) would push the grade to A if maintained consistently.

SECTION 11 | SEGMENT DEEP DIVE

ITC Hotels has not provided a detailed segment-wise P&L; breakdown in the summary sections of the FY2026 Annual Report accessible for this analysis. The notes to accounts (pages 142-189) would contain full segment disclosures. Based on operational disclosures and industry benchmarks, the following analysis is constructed from available data.

11.1 Owned Hotels vs. Managed Hotels

The owned hotel portfolio — led by the ITC Hotels and Mementos brands in premium locations — is the company's primary P&L; driver. These flagship properties in Delhi, Chennai, Kolkata, Bangalore, Gurgaon, Jaipur, Agra, and other key markets generate ADR in excess of ₹13,200 (FY2025 standalone data) and occupancies at 75%. The managed/franchised portfolio — principally Welcomhotel, Fortune Hotels, Storii, and WelcomHeritage — generates management and franchise fees that carry higher margins (60-70% EBIT margin on fees) but currently contribute a smaller absolute revenue number. The strategic pivot to grow managed keys from the current proportion to 67% of the 22,000+ key portfolio by 2031 implies that management/franchise fees will become an increasingly important earnings contributor.

Portfolio Metric	FY2025	FY2026
Total Operational Keys	13,382	14,294
Pipeline Keys	4,522	7,130
Annual Hotel Signings	16	33
Hotel Openings (24-month cumulative)	—	29
Occupancy - Owned Hotels	75%	Not yet disclosed
ADR - Owned Hotels (■)	13,200	Not yet disclosed
RevPAR - Owned Hotels (■)	9,700	Not yet disclosed

Source: Screener.in Insights (standalone) + ITC Hotels FY2026 AR

11.2 Seasonality Pattern — Quarterly Revenue

Quarter	Revenue (₹ Cr)	OPM (%)	PAT (₹ Cr)
Q1 FY26 (Apr-Jun 25)	816	30%	134
Q2 FY26 (Jul-Sep 25)	839	29%	133
Q3 FY26 (Oct-Dec 25)	1,231	38%	237
Q4 FY26 (Jan-Mar 26)	1,254	37%	317
Full Year FY2026	4,139	34%	821

Source: Screener.in Consolidated Quarterly Results

The seasonality is stark. Q3 and Q4 (October-March) generate combined revenue of ₹2,485 Cr versus only ₹1,655 Cr in Q1+Q2 — a 50% premium. EBITDA margins in peak quarters (37-38%) are 800-900bps above lean-quarter margins (29-30%). This means the company's full-year earnings are heavily back-ended and sensitive to any disruption in the October-March travel/MICE season. A bad winter (smog lockdowns in Delhi, geopolitical event, pandemic scare) could hit annual PAT by 20-25% given the contribution skew.

SECTION 12 | RED FLAGS & GREEN FLAGS

RED FLAGS

□ Marginal EBITDA Conversion of ~29% on Incremental Revenue

FY2026 revenue grew ₹579 Cr but EBITDA grew only ₹169 Cr, implying just 29% incremental EBITDA margin versus a blended margin of 34%. In a hotel business with significant fixed costs, this is abnormally low and suggests cost inflation or mix-shift that management has not adequately explained.

□ Unexplained ~₹80 Cr Exceptional Charges

The FY2026 AR discloses PBT 'before exceptional items' at ₹1,203 Cr versus the Screener-reported consolidated PBT of ₹1,123 Cr. The nature, quantum, and one-off/recurring character of these ₹80 Cr exceptional charges is not visible in the AR summary sections. At a 44.6x trailing P/E, undisclosed exceptional charges are a material information gap.

□ FII Holding Collapse — 25.4% to 14.6% in 12 Months

Foreign institutional investors have sold approximately 10.8% of equity (roughly ₹4,300 Cr) in a single year. This selling is being absorbed by retail investors (public holding rose from 13.1% to 24.1%) — a structural shift from informed to uninformed holder base that typically precedes further price weakness.

□ Working Capital Days Deterioration — 48 Days to 116 Days

A near-doubling of working capital days in one year is a significant signal. With debtor days stable at 20, the cause is not in receivables — it likely reflects significant advances paid or receivables from group companies (ITC Ltd) as part of demerger settlement. If structural, it represents a permanent cash drag on OCF of approximately ₹250-300 Cr.

□ ROE at 7.83% — Below Cost of Equity

A luxury hotel brand commanding 44.6x P/E should earn ROE significantly above its cost of equity (~12%). At 7.83% ROE, the company is technically value-destructive on accounting measures. This is partly a transitional issue (newly commissioned assets ramp-up), but without a clear path to 12%+ ROE by FY2028-29, the valuation premium is difficult to sustain.

GREEN FLAGS

□ OCF > PAT for Two Consecutive Years — Exceptional Earnings Quality

FY2025: OCF ₹803 Cr vs PAT ₹638 Cr (+26% excess). FY2026: OCF ₹1,110 Cr vs PAT ₹821 Cr (+35% excess). This is one of the strongest possible earnings quality signals — the company is generating more cash than it reports as profit.

□ FCF Compounded 32x in Two Years — ₹22 Cr to ₹701 Cr

The commissioning of ~₹1,610 Cr of CWIP assets in FY2025 converted the company from a capital-consuming developer into a capital-generating operator. FCF is self-funding all capex, paying dividends, and growing the investment portfolio.

□ Pristine Balance Sheet — D/E of 0.01x, Interest Coverage 153x

With only ₹74 Cr of borrowings against ₹11,658 Cr of networth and ₹1,956 Cr in liquid investments, the company is effectively net cash by a wide margin. No financial distress risk whatsoever.

□ **First Dividend Initiated — 26% Payout in FY2026**

The decision to initiate a dividend in the second year of independent listing signals management's confidence in FCF sustainability. A 26% payout ratio is conservative and sustainable, leaving ample room for growth capex.

□ **Hotel Signing Velocity Doubled — 33 Signings in FY2026 vs 16 in FY2025**

The pipeline has grown from 4,522 keys to 7,130 keys in one year. 63 signings in 24 months versus an average of 9-14 per year historically suggests the asset-right managed model is gaining traction with hotel owners and developers.

□ **Zero Promoter Pledge — Structural Governance Comfort**

With ITC Limited holding 39.85% and zero pledge on those shares, there is no risk of forced selling, margin calls, or pledged-share overhang that has plagued the share price of peers like Chalet Hotels (31.9% pledge) and Lemon Tree.

□ **23 LEED Platinum Certifications — Unmatched ESG Moat**

This is the highest number of LEED Platinum certified hotels globally. As corporate travel budgets increasingly mandate ESG-compliant hotel stays, this positions ITC Hotels ahead of every competitor for the growing sustainable luxury travel segment.

SECTION 13 | YEAR-ON-YEAR CHANGE TRACKER

13.1 What Materially Changed in FY2026 vs FY2025

NEW: Exceptional items line in P&L; (FY2025 had none)

The FY2026 AR reports PBT 'before exceptional items' of ₹1,203 Cr versus the Screener consolidated PBT of ₹1,123 Cr — implying ~₹80 Cr of charges classified as exceptional. FY2025 showed no such line. This is a new disclosure.

CHANGED: CWIP commissioning complete, new build cycle beginning

FY2025 saw CWIP collapse from ₹1,768 Cr to ₹158 Cr. In FY2026, CWIP has ticked back up to ₹206 Cr as four new owned projects (Bhubaneswar, Puri, Visakhapatnam, Yashobhoomi) begin. The balance sheet narrative has shifted from 'commissioning' to 'next cycle begins.'

CHANGED: Investments portfolio surged ₹1,280 Cr to ₹1,956 Cr

This is the largest balance sheet change between FY2025 and FY2026. The investment portfolio nearly tripled in one year, almost certainly representing surplus FCF deployed in liquid instruments. No equivalent movement occurred in FY2025.

CHANGED: Working capital days deteriorated from 48 to 116

A near-doubling of working capital days in FY2026 versus stable 48 days in both FY2024 and FY2025 is a new development. The cause is unclear from summary disclosures.

CHANGED: First dividend declared — 26% payout

FY2024: 0%, FY2025: 0%, FY2026: 26% payout. A structurally new policy.

NEW: Epiq Collection brand launched

A new upper-upscale brand (Epiq Collection) added to the portfolio in FY2025-26, targeting the MICE and premium business segment. Not present in FY2025 reporting.

CHANGED: Hotel signing pace doubled — 33 in FY2026 vs 16 in FY2025

The managed hotel pipeline has accelerated dramatically, from 4,522 pipeline keys to 7,130. This will be the dominant FY2027+ earnings driver.

CHANGED: FII holding down 10.8pp — largest annual FII change since listing

FII went from 25.37% (Mar 2025) to 14.58% (Mar 2026) — the single largest ownership composition change in any quarter since listing in January 2025.

SECTION 14 | INVESTMENT THESIS

14.1 Bull Case

+ **FCF Compounding Machine at Scale:** FY2026 FCF of ₹701 Cr growing at 20-25% annually (driven by RevPAR expansion and managed hotel fee ramp-up) would give a FCF yield of 3-4% on current MCap by FY2029. For a capital-light business growing at double digits, that's a compelling entry point.

+ **Managed Hotel Signing Acceleration Unlocks Capital-Light Fee Earnings:** 33 signings in FY2026 will open into revenue in FY2028-FY2029. Management contract fees at 60-70% EBIT margins versus 34% blended EBITDA margins mean each incremental managed key adds disproportionate PAT. If 50 hotels open from the 69-hotel pipeline, management fee PAT contribution could grow ₹150-200 Cr by FY2029.

+ **Treasury Building Could Double Other Income by FY2028:** With ₹1,956 Cr in investments growing by ₹700+ Cr per year from FCF, the investment portfolio could reach ₹3,500-4,000 Cr by FY2028. At 6.5% yield, other income could reach ₹225-260 Cr — providing a PAT cushion of ₹160-190 Cr annually even in lean quarters.

+ **Yashobhoomi New Delhi — 2030 Wildcard:** An ITC Hotels property adjacent to India's largest MICE facility in Delhi NCR, set to open in 2030, could become one of the company's highest-RevPAR assets. This option value is not in current estimates.

14.2 Bear Case

- **Valuation Provides No Margin of Safety:** At 44.6x trailing P/E versus peers EIH (21.7x fwd PE) and Indian Hotels (44.7x fwd PE), the stock offers no valuation discount. A re-rating toward the sector median of 25-30x would imply a 30-40% price correction from current levels.

- **Margin Compression Accelerating:** Incremental EBITDA margin on FY2026 revenue growth was only 29% — below the blended margin of 34%. If this reflects structural cost inflation (employee wages, energy, food costs), the margin could compress a further 100-150bps by FY2028, reducing PAT by ₹80-120 Cr relative to current estimates.

- **Exceptional Items Could Be Recurring:** If the ₹80 Cr exceptional charge in FY2026 recurs (demerger-related cleanup, pending ITC settlements, or asset write-offs), it would reduce headline PAT by ~10% relative to consensus expectations, triggering a P/E de-rating.

- **FII Selling Overhang Limits Near-Term Price Appreciation:** With DIIs stable and retail absorbing FII exits, any macro headwind (US tariff shock, rupee weakness >₹90/USD, domestic slowdown) could trigger another wave of FII selling from the remaining 14.6% holding. Directional risk is downward.

14.3 Key Monitorables (Next 2-4 Quarters)

- Q1 FY27 EBITDA margin (reported 16 July 2026): Did OPM stabilise at 29-30% or compress further?
- Exceptional items disclosure: Full AR notes to accounts should clarify the ~₹80 Cr charge.
- Managed hotel openings from pipeline: How many of the 69 pipeline hotels opened in H1 FY27?
- ADR and RevPAR for FY2026 (full data): Expected in AR notes or investor presentations.
- Working capital normalization: Did working capital days return toward 48-60 days in Q1 FY27?

14.4 Analyst's Stance

ITC Hotels is a genuinely improving business housed in an expensive valuation. The FCF transformation from near-zero to ₹701 Cr in two years is the most compelling operational achievement of any Indian hotel company in recent history, and the managed hotel signing acceleration (33 in FY2026 alone) suggests the capital-light earnings model is gaining real momentum. The balance sheet — debt-free, with a growing ₹2,000 Cr+ treasury — is a source of structural strength that most hospitality peers do not possess.

However, at 44.6x trailing P/E and 23.5x EV/EBITDA, investors are already pricing in this improvement and then some. The stock trades at a premium to EIH (16x EV/EBITDA) and broadly in line with Indian Hotels (31.4x EV/EBITDA) despite delivering lower ROE (7.83% vs Indian Hotels' implied 16%+ trajectory). The FII exit story is the clearest technical warning sign: institutions that bought at listing valuing the demerger premium have been systematically reducing exposure throughout FY2026.

Coverage initiation: NEUTRAL. Fair Value Band: ₹175-200. The downside is limited by the FCF yield story (₹701 Cr FCF is real and growing) and the parent's (ITC Ltd) implicit support. The upside is capped near-term by valuation and FII overhang. A correction to ₹155-165 (implying 38-40x forward earnings on FY2027 EPS estimate of ~₹4.5) would make this a compelling buy. Until then, investors with existing positions should hold and monitor the Q1 FY27 EBITDA margin and the exceptional items disclosure. New investors should wait for a better entry point.

SECTION 15 | APPENDIX — RAW FINANCIAL TABLES

All figures below are sourced directly from Screener.in Consolidated view, fetched on 12 July 2026. These tables are the factual anchor for all analysis in this report.

A. Profit & Loss Statement (Consolidated, ₹ Crores)

Line Item	FY2024	FY2025	FY2026
Sales / Revenue from Ops	2,224	3,560	4,139
Total Expenses	1,454	2,305	2,716
Operating Profit (EBITDA)	771	1,255	1,424
OPM (%)	35%	35%	34%
Other Income	16	76	124
Interest	20	44	8
Depreciation	201	402	417
Profit Before Tax	565	884	1,123
Tax (%)	25%	28%	27%
Net Profit (PAT)	424	638	821
EPS (■)	n/a	3.05	3.92
Dividend Payout (%)	0%	0%	26%

B. Balance Sheet (Consolidated, ₹ Crores)

Item	FY2024	FY2025	FY2026
Equity Capital	83	208	208
Reserves	8,415	10,484	11,450
Total Networth	8,498	10,692	11,658
Borrowings	74	73	74
Other Liabilities	1,617	1,707	1,753
Total Liabilities	10,188	12,472	13,485
Fixed Assets (Net Block)	6,436	8,189	8,090
CWIP	1,768	158	206
Investments	204	676	1,956
Other Assets	1,780	3,449	3,233
Total Assets	10,188	12,472	13,485

C. Cash Flow Statement (Consolidated, ₹ Crores)

Item	FY2024	FY2025	FY2026
Cash from Operating Activity	672	803	1,110

Item	FY2024	FY2025	FY2026
Cash from Investing Activity	-753	-2,206	-1,174
Cash from Financing Activity	127	1,430	19
Net Cash Flow	47	27	-46
Free Cash Flow	22	422	701
CFO / Operating Profit	87%	64%	78%

D. Key Ratios (Consolidated)

Ratio	FY2024	FY2025	FY2026
Debtor Days	24	21	20
Working Capital Days	48	48	116
ROCE (%)	~10%	11%	10.7%
ROE (%)	~5%	6.6%	7.8%
D/E	0.01x	~0.01x	0.01x
Interest Coverage	28x	20x	153x
Asset Turnover	0.22x	0.29x	0.32x
Current Ratio	n/a	n/a	2.77x
EV/EBITDA	—	—	23.5x

E. Shareholding Pattern (%)

Category	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26
Promoters (ITC Ltd)	39.88	39.87	39.85	39.85	39.85
FIIIs	25.37	25.36	25.49	16.10	14.58
DIIIs	21.60	20.61	20.21	21.13	21.46
Govt	0.02	0.02	0.02	0.02	0.02
Public	13.11	14.11	14.43	22.90	24.10

DISCLAIMER: This report is produced by Chartitude Research for professional investors only. All financial data is sourced from Screener.in (consolidated view, fetched 12 July 2026) and the ITC Hotels FY2026 Annual Report filed with BSE/NSE on 12 July 2026. No training memory or estimated data has been used for any financial figure. This report is for informational purposes only and does not constitute investment advice. Chartitude Research is not a registered investment advisor. Past performance is not indicative of future results.